

Project Satoshi Gate

**Strategic access today.
Control only when the economics are proven.**

A 26% strategic stake, a commercial custody/MPC partnership and a pre-agreed call option, instead of a ₹4,000 Cr full acquisition — supported by an auditable accretion/dilution and PAT/FCF breakeven model.

TEAM ETERNAL



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₹1,040 Cr

Unconditional cheque: 26% stake, cash-funded

≤ ₹2,960 Cr

Control tranche, paid only against retained ARR

6 gates

Consents · Capital · Valuation · PAT · FCF · Compliance

Board recommendation: buy access and an option, not full control

₹1,040 Cr

Phase-1 investment
26% stake · cash · 0.9% of mkt cap

−29%

Full-deal year-1 EPS
₹5.29 vs ₹7.50 at headline mix

₹750 Cr/yr

Capital drag at control
117% of EBITDA · NPV ₹4,238 Cr

26–33×

Retained-ARR multiple
18.2× headline after 30–45% churn

Hold

Base-case outcome
Control only if Liminal earns it

Recommendation: a staged structure, not a full acquisition

1

Invest ₹1,040 Cr in cash for 26% — one share above the 25% special-resolution threshold: negative control without operational control (TA).

2

Commercial custody/MPC partnership for tokenized-treasury, e₹ and cross-border settlement use cases.

3

Ring-fence Liminal: standalone brand, arm’s-length board, information barriers, independent compliance.

4

Call option on the remaining 74%, months 12–24, capped at ₹2,960 Cr: ₹1,650 Cr upfront + up to ₹1,310 Cr retention earn-out. Never more than ₹4,000 Cr in total; never more than ₹1,040 Cr unconditional.

Why not 100% today — four numbers the Board should hold

Pressure	Case fact → calc	So what
Client revolt	30–45% ARR lost in 12 months (CF)	18.2× becomes 26–33× retained ARR
Capital trap	₹750 Cr/yr FCF drag (CF)	Larger than Paytm EBITDA; NPV > price
Earnings	Liminal ~breakeven (CF)	Y1 EPS ₹5.29 (−29%); ₹6.08 at 0% churn
Breakeven	Drag vs ₹115 Cr MDR (CF)	FCF never breaks even in 10 yrs; MDR ≤15%

!

Base expectation, stated plainly: under the case’s own assumptions the modal outcome is **Hold**. The option is insurance and a block on PhonePe–Mastercard, not a plan to buy.

BOARD ASK

Approve **Invest → Validate (12 months) → Exercise / Hold / Walk away**; authorise the ₹1,040 Cr investment, option negotiation and guardrails (cash ≥ ₹5,000 Cr, gross debt/EBITDA ≤ 1.5×, no unconditional equity); delegate gate reviews to the M&A/Risk committee.

Consents

Capital

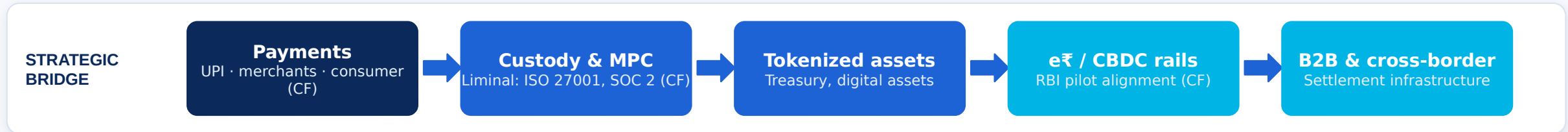
Valuation

PAT

FCF

Compliance

Strategic rationale: access captures the value, ownership adds the risk



Paytm today (CF)

- ₹1,18,750 Cr market cap on a turnaround re-rating
- UPI and checkout growth slowing; PhonePe and Google Pay dominate volume
- Regulatory scrutiny since RBI's 2024 Paytm Payments Bank restrictions
- Stated ambition: tokenized treasury and cross-border settlement aligned with e₹

Liminal adds (CF)

- Institutional digital-asset custody + MPC infrastructure, founded 2021 (Mahin Gupta)
- Clients: exchanges, hedge funds, OTC desks
- HDFC Bank, Axis Bank, CoinDCX, ZebPay = 60% of ₹220 Cr ARR
- Approximately PAT breakeven today

Why it matters (TA)

- Custody/MPC is the trust layer every tokenized-settlement product needs; certifications take years to build
- Adjacent to the core, not a replacement for it
- A hedge on the e₹ thesis: if it scales Paytm holds the rail; if not, the cheque is ₹1,040 Cr, not ₹4,000 Cr

Could a partnership alone do the job? (5.1)

For the **capability**, largely yes. For **security of supply**, no: a pure partnership leaves Liminal for sale, and the case says the consortium buys it if Paytm walks. Then Paytm's critical custody supplier is owned by its main competitor. The 26% stake + ROFR/ROFO + call option buys the blocking right and the information rights to run the validation; the partnership captures the capability. Together they cost 26% of the headline price.

Large enough to leave the core?

Large enough for a 26% position and a partnership; not large enough, on the case's numbers, for a ₹4,000 Cr control cheque with a ₹750 Cr/yr carrying cost. **We size the bet to the evidence.** Walking away costs the neutral custodian and a 24-36 month build-or-partner path (TA). On pure earnings no structure is accretive before year 5.

The ownership paradox: control impairs the asset; the drag alone outweighs the price

1 Customer conflict

- Top-4 = ₹132 Cr of ₹220 Cr ARR (CF)
- Case: ₹66-99 Cr leaves in 12 months = 50-75% of the top-4 book
- Trigger: a competing consumer wallet owning the custodian

2 Regulatory capital

- ₹750 Cr/yr = 117% of EBITDA, 156% of PAT, 3.4× Liminal revenue
- Liminal needs ~₹4,000 Cr ARR (18× today) to self-fund it
- 16 years away at 20% growth, 11 at 30% (TA)

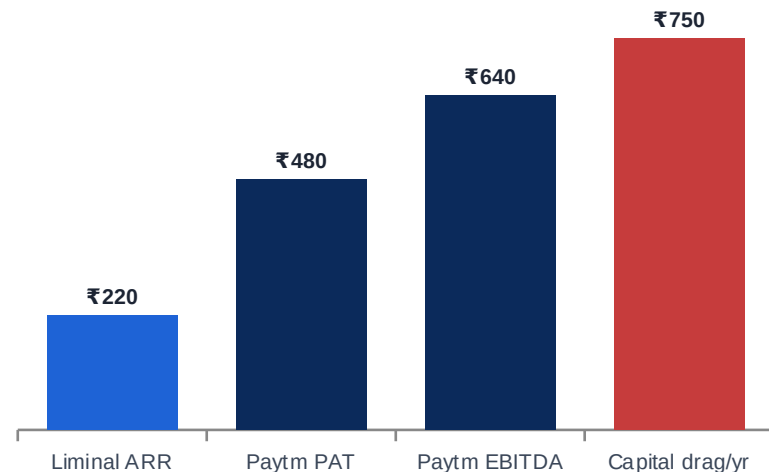
3 Earnings

- Liminal ~breakeven: no earnings to offset the deal's own cost (CF)
- Year-1 EPS ₹5.29 (−29%) at the headline mix (TA)
- The “share-count only” ₹7.38 hides 95% of the dilution

4 Valuation

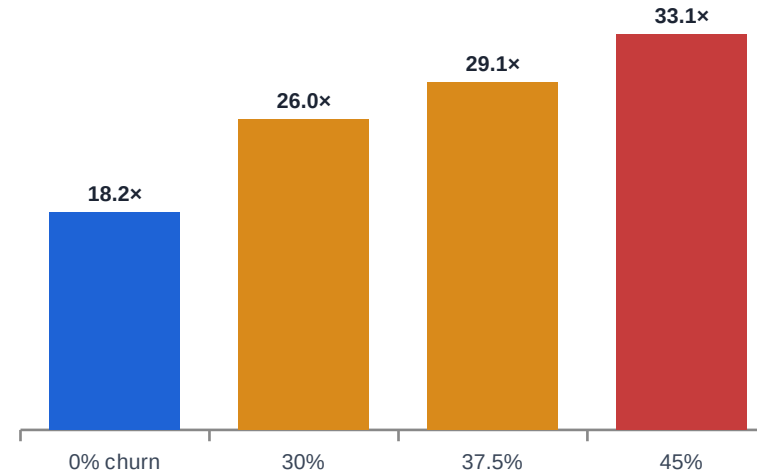
- 18.2× headline → 26-33× retained ARR
- Each 10 pts of churn destroys ₹400 Cr at the paid multiple
- Paytm at ~247× trailing P/E: a −29% print invites the buyback debate (CF §3.3)

The drag in context — ₹ Cr per year



10-year NPV of the drag at 12% WACC: ₹4,238 Cr, more than the ₹4,000 Cr price (TA).

Effective multiple on retained ARR



₹4,000 Cr ÷ retained ARR. Growth needed just to recover ₹220 Cr: +42.9% after 30% churn, +81.8% after 45% (CALC).

CORE DEAL PARADOX — Paytm wants Liminal for its institutional franchise. Taking control is what breaks that franchise and what triggers the capital requirement.

BOARD IMPLICATION — Separate the strategic attractiveness of Liminal (high) from the economic attractiveness of owning 100% today (negative under the case's own assumptions).

Strategic options: only minority + option secures access and blocks the bid

Dimension	Full acquisition	26% minority + option ★ recommended	Joint venture	Walk away
Strategic access	Full	High: partnership + board seat + info rights	High inside JV scope only	None; 24–36 mo build (TA)
Control	Full, now	Negative now; positive optional (months 12–24)	Shared	None
Counter-bid defence	Complete	ROFR/ROFO + 26% veto + call option	Weak: Liminal still for sale	None: consortium acquires
Churn exposure	30–45% (CF)	Not triggered (TA), tested via consents	Not triggered (TA)	Nil
₹750 Cr capital drag	Applies (CF)	Not expected at 26% (TA); RBI comfort is a CP	Depends on JV custody scope	Nil
Upfront commitment	₹2,100 Cr cash + 1.02 Cr shares	₹1,040 Cr cash; no shares, no debt	Capital + IP licence (TA)	Nil
Year-1 EPS vs ₹7.50	₹5.29 (–29%)	₹6.81 (–9%): foregone interest only	Not modelled	₹7.50
FCF profile	Never breaks even (drag)	Return is equity value; no cash yield	Not modelled	n/a
Reversibility	Low	Medium-high (tag-along, ROFO)	Medium	High
Future-control optionality	Already spent	Preserved and priced	Negotiable	Lost



The JV, if needed (TA)

A Paytm-majority “SettleCo” for e₹/tokenized-treasury settlement: Liminal licenses MPC and runs custody ops; Paytm brings distribution, merchants and capital; Liminal’s institutional book stays outside. No revolt, no reserve on Paytm, but it does not block the consortium and splits governance. **Our fallback if RBI applies a reserve at minority level.**



Conclusion

Minority + partnership + call option defers the two largest unresolved risks — **client response** and **capital treatment** — until they are observable, at 26% of the cheque, while removing the consortium’s easiest path.



Discipline

We do **not** assume a minority automatically eliminates churn or the ₹750 Cr requirement. Both are gates, tested before any control is exercised.

Transaction architecture: pay for access now, pay for control against retained ARR

1 Strategic entry · ₹1,040 Cr

- Secondary purchase of 26% at pro-rata of the ₹4,000 Cr headline = ceiling; target ₹850-950 Cr (bull-DCF pro-rata)
- 100% balance-sheet cash; no debt, no shares; equity-method associate
- 1 of 5 board seats + observer; info/audit rights; ROFR/ROFO; tag-along; anti-dilution; reserved matters

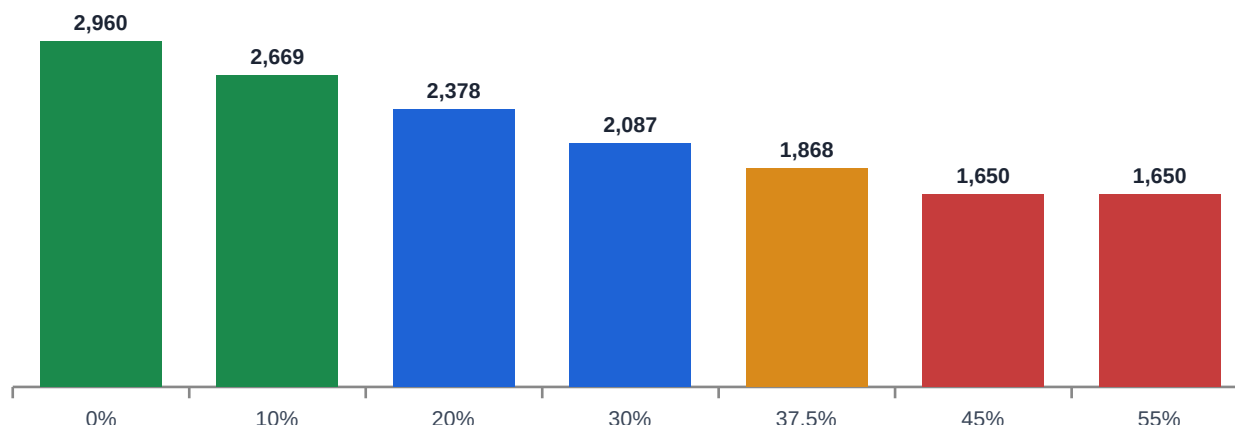
2 Partnership + ring-fence

- Multi-year custody/MPC agreement for tokenized-treasury, e₹ and cross-border pilots, at arm's length
- Standalone brand, independent chair, information barriers, published client charter
- Founder and MPC-engineering retention pool vesting over validation

3 Call option on 74%

- Window months 12-24; a right, not an obligation; ROFR/ROFO persist after lapse
- Cap ₹2,960 Cr = ₹1,650 Cr at exercise + earn-out ≤ ₹1,310 Cr, linear 55-100% retained ARR at month 18
- Earn-out in Paytm shares (≤ 0.71 Cr, $\pm 15\%$ collar) or cash at Paytm's election

Control consideration vs post-control churn (₹ Cr)



Tracks $74\% \times 18.2 \times$ retained ARR within 1-2%: the upfront covers the worst case, the earn-out pays only for revenue that survives control. Measured on the pre-control client base, audited, Paytm-related revenue excluded. Grand total: ₹4,000 Cr at 0% churn → ₹2,690 Cr at $\geq 45\%$.

Why 26%, not 25%

One share above 25% blocks special resolutions (new-investor allotment, charter changes, schemes). The veto does not stop a secondary sale; the ROFR/ROFO does. With the call option they close every route to the consortium.

Why Liminal's shareholders say yes (TA)

₹1,040 Cr of liquidity now; a defined path to the full ₹4,000 Cr; Paytm as anchor client; retention pool; and the alternative buyer carries the same wallet conflict. If the option is refused: 26% + ROFR/ROFO without the call still blocks and still gives access.

Assumptions slide: case facts vs calculations vs team assumptions

Case facts (CF)

Paytm	Value	Liminal / deal	Value
Market cap	₹1,18,750 Cr	Headline value	₹4,000 = ₹2,100 cash + ₹1,900 equity
Diluted shares	64 Cr	ARR	₹220 Cr
Cash / gross debt	₹8,900 / ₹350	PAT	~breakeven
Rev / EBITDA / PAT	₹8,450 / ₹640 / ₹480	Top-4 clients	60% of ARR
Diluted EPS (start)	₹7.50	Full-acq. churn	30–45% within 12 months
Rating	CRISIL AA– (Stable)	Capital drag	₹750 Cr/yr recurring FCF
Cash-portion funding	Cash, debt, or mix	UPI MDR (standalone)	₹115 Cr/yr net revenue

Derived calculations (CALC)

Share price ₹1,855 (market cap ÷ shares) · 18.2× headline ARR · ₹1,900 Cr equity = 1.02 Cr shares · trailing P/E ≈ 247× · churn-adjusted multiples and values · drag ratios.



CASE FACT ≠ DERIVED CALCULATION ≠ TEAM ASSUMPTION. No case input is replaced by an external figure; every TA is flexed in the model.

Team assumptions (TA) — the values in the model

#	Assumption	Base	Range
1	Stake / price	26% / ₹1,040 Cr (ceiling)	20–30%
2	Yield on surplus cash (pre-tax)	6.0%	5–7%
3	Cost of new debt (pre-tax)	8.5%	8–10%
4	Tax rate	25%	—
5	Liminal ARR growth	20% (bear 10%, bull 30%)	10–40%
6	EBITDA margin	0% → +5 pp/yr to 25%	20–30%
7	PAT / FCF	PAT = 75% EBITDA; FCF ≈ PAT	—
8	Churn under minority / JV	0% (consent gate)	0–20%
9	Churn at control	37.5% counterfactual; ≤20% to exercise	0–55%
10	Cost stickiness after churn	50% for one year	—
11	Drag at minority	0 (RBI comfort CP); tested ₹195 / ₹750	—
12	Drag treatment	FCF only; PPA not modelled	—
13	MDR conversion	80% flow-through → ₹69 Cr PAT/FCF	60–100%
14	One-time costs	Fees ₹15; integration ₹100	—
15	Synergies	₹0 base; upside only	—
16	WACC / terminal growth	12% / 5%	11–14%
17	Control tranche	₹1,650 up (₹1,150 cash + ₹500 debt) + ≤₹1,310 earn-out	—
18	Guardrails	Cash ≥ ₹5,000; GD/EBITDA ≤ 1.5×; collar ±15%	—
19	Validation / option window	12 months / months 12–24	—
20	Control gate on breakeven	PAT and FCF ≤ 5 yrs after exercise	—
21	Build-or-partner alternative	24–36 months	—

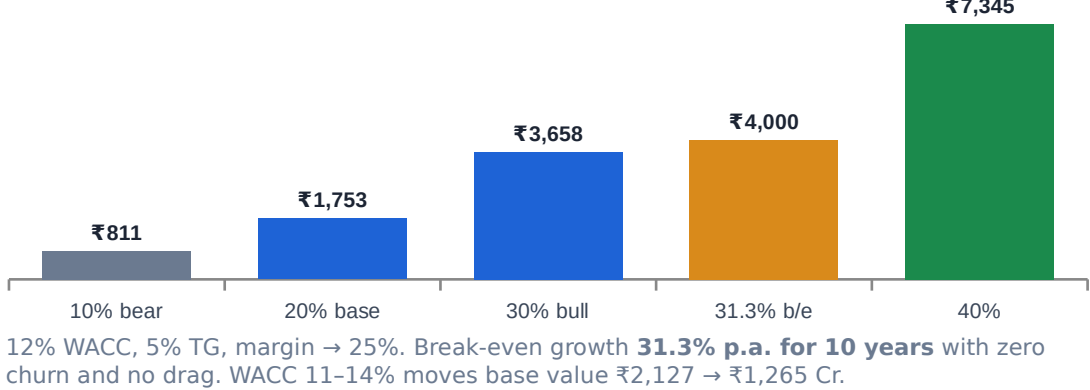
Valuation & churn: 18.2× becomes 26–33×; the price needs 31% growth for 10 years

Churn sensitivity (CALC) — ₹ Cr

Churn	ARR lost	Retained	Eff. multiple	Value @18.2×	Gap	Recovery growth
0%	₹0	₹220	18.2×	₹4,000	—	—
30%	₹66	₹154	26.0×	₹2,800	₹1,200	+42.9%
37.5%	₹82.5	₹137.5	29.1×	₹2,500	₹1,500	+60.0%
45%	₹99	₹121	33.1×	₹2,200	₹1,800	+81.8%

Every 10 points of churn destroys ₹400 Cr of value at the paid multiple.

What you need to believe — standalone DCF vs ₹4,000 Cr (TA)



Is the valuation supportable? (5.3)

- Not as an unconditional ₹4,000 Cr
- Only as a cap reached through retained ARR: ₹3,127 Cr total at 30% churn, ₹2,690 Cr at 45%
- If Liminal delivers 30% growth, the cap sits 16% below the then-DCF of ~₹4,756 Cr
- Add the drag NPV (₹4,238 Cr) and 100% ownership is negative below 40% growth

Churn tolerance (5.2)

- At the headline price, **any churn above 0%** makes the deal unattractive: the price is unsupported before churn
- Under our structure the price self-corrects down to 55% retention
- Below 55% retention (churn > 45%) control is **never** exercised — the Board’s tolerance lives in the earn-out floor, not in a fixed price

Structuring response

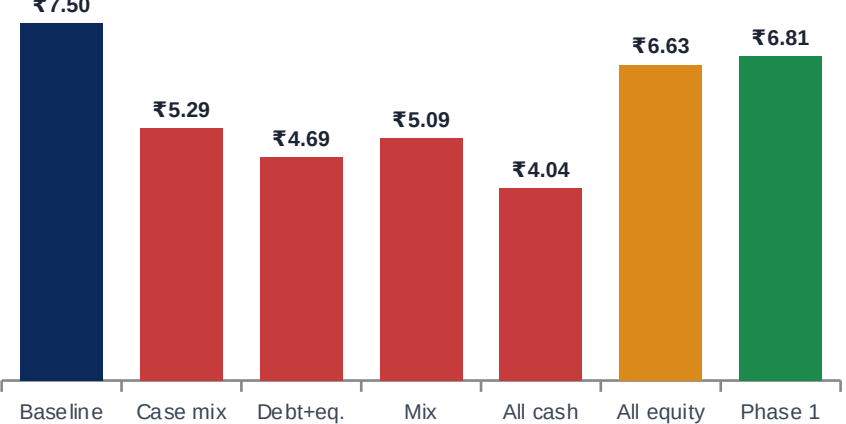
- Deferred consideration · retention earn-out · CVR-style payout on retained ARR · valuation cap at headline
- Fundamental value of 26%: ₹456 Cr (base) – ₹951 Cr (bull); the ₹1,040 Cr ceiling carries a disclosed premium for blocking and access
- Do not pay ₹4,000 Cr unconditionally for revenue that may disappear because of the acquisition itself

Financing & EPS: stage the capital; every full-deal mix is 12–46% dilutive

Full-acquisition year-1 EPS by financing mix (TA: 6% cash yield, 8.5% debt, 25% tax, 37.5% churn)

Structure	New shares	Y1 EPS	vs ₹7.50	+MDR	Cash after	Gross debt	GD/EBITDA
₹2,100 cash + ₹1,900 equity (case)	1.02 Cr	₹5.29	−29%	₹6.36	₹6,800	₹350	0.5×
₹2,100 debt + ₹1,900 equity	1.02 Cr	₹4.69	−38%	₹5.75	₹8,900	₹2,450	3.8× △
₹1,400 cash + ₹700 debt + ₹1,900 eq.	1.02 Cr	₹5.09	−32%	₹6.15	₹7,500	₹1,050	1.6× △
All cash ₹4,000	—	₹4.04	−46%	₹5.12	₹4,900 △	₹350	0.5×
All equity ₹4,000	2.16 Cr	₹6.63	−12%	₹7.68	₹8,900	₹350	0.5×
Share-count-only view of case mix	1.02 Cr	₹7.38	−1.6%	—	—	—	—

Year-1 EPS (₹/share)



Recommended Phase 1 — ₹1,040 Cr cash for 26%

- Year-1 EPS **₹6.81** (−9.2% vs ₹7.50; −8.1% vs the ₹8.58 standalone-with-MDR baseline): entirely foregone treasury income (₹46.8 Cr/yr) less ₹2.6 Cr associate share. This is the option premium.
- Sensitivity: ₹6.93 at 5% yield, ₹6.69 at 7%. With MDR added: ₹7.89.
- Share-count dilution nil; new debt nil; cash after ₹7,860 Cr; GD/EBITDA 0.5×; net cash ₹7,510 Cr.

Sources & uses (TA)

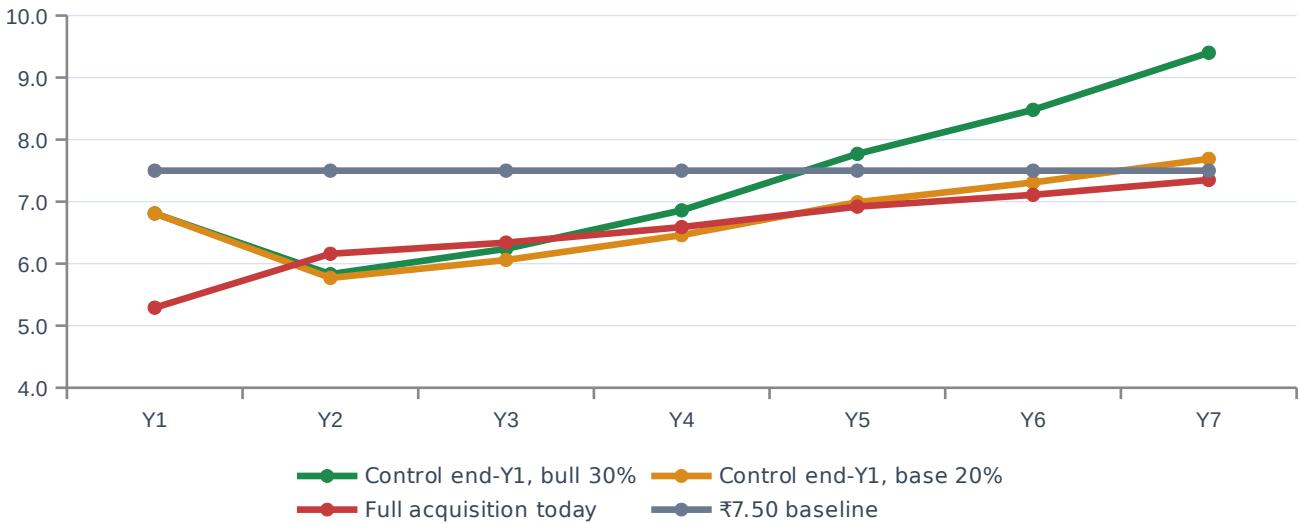
	Uses	Sources
Phase 1	26% stake ₹1,040 + fees ₹15 = ₹1,055	Balance-sheet cash ₹1,055; debt 0; equity 0
Control (if exercised)	Upfront ₹1,650 + integration ₹100 + earn-out ≤ ₹1,310	Cash ₹1,250 + new debt ₹500 + shares ≤ ₹1,310 (≤0.71 Cr, collared)
Maximum ever	₹4,000 Cr total = headline	Unconditional maximum ₹1,040 Cr

Post-control: cash ₹6,710 Cr, gross debt ₹850 Cr (1.3×), net cash ₹5,860 Cr — inside both guardrails. Cost of funds after control ₹130 Cr/yr.

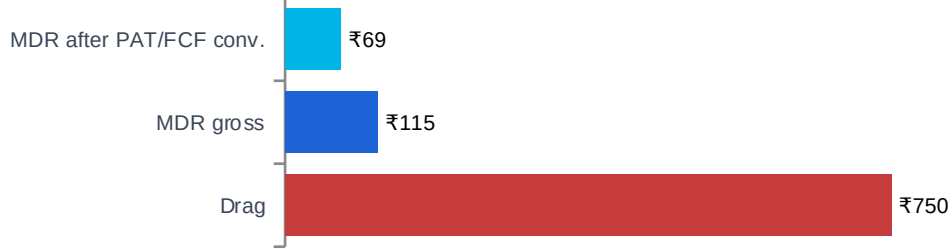
! How to read it: at ~247× P/E equity is Paytm’s cheapest currency in EPS terms and cash its most expensive (4.5% post-tax yield vs 0.4% earnings yield); but all-equity issues 3.3% of the company for a breakeven asset, and debt-funding the cash leg breaches AA– headroom (3.8× EBITDA). **No mix rescues a full acquisition. Financing follows risk resolution.**

PAT & FCF breakeven: the full deal never gets there; control only if Liminal earns it

EPS path by route (₹/share, TA base) — dashed = ₹7.50 baseline



₹750 Cr drag vs ₹115 Cr MDR (5.3)



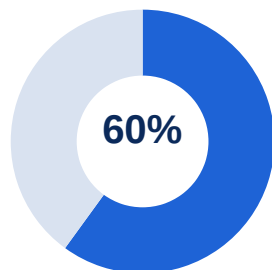
MDR covers 15.3% of the drag at the revenue line, 9.2% after conversion. Net cash cost of full ownership ~₹681 Cr/yr. The MDR accrues whether or not Paytm buys Liminal: a standalone tailwind (+₹1.08 EPS), never a deal synergy. Even a ₹100 Cr/yr recurring capital cost fails the 5-year FCF gate in every trajectory; ₹50 Cr passes only in bull with zero churn.

Breakeven results — two tests, both required: PAT (accounting) and FCF (cash, after drag). TA base: 20% growth, margin ramp; 37.5% churn in the full-acquisition counterfactual

Path	Y1 EPS	PAT breakeven	FCF breakeven	Read-across
Full acquisition today (case mix)	₹5.29	Year 8 (Y3 only if MDR credited)	Never in 10 yrs; Y1 FCF -₹986 Cr; cum. -₹9,965 Cr by Y10	Even 0% churn + 30% growth + MDR: no FCF breakeven
Phase 1: 26% minority	₹6.81	Associate income covers interest Y9 base / Y6 bull	No cash yield until dividends or exit; return is equity value	Cost ₹47 Cr/yr; a pro-rata drag would make it ₹242 Cr
Control end-Y1, base 20%	₹5.77 trough	Year 7	Year 7	Fails ≤5-yr gate → Hold
Control end-Y1, bull 30%	₹5.83 → ₹7.77 (Y5)	Year 5	Year 5	Passes → Exercise (Y6 with 20% churn)

Customer retention & governance: independence clients can verify

Concentration risk (CF → CALC)



HDFC Bank + Axis Bank + CoinDCX + ZebPay = ₹132 Cr of ₹220 Cr ARR.
Case churn ₹66-99 Cr =
50-75% of the top-4 book.
Revolt trigger: a competing wallet operator seeing custody flows.

How significant is the risk of losing the top-4? (5.2)

Under full control, **existential**: the case removes half to three-quarters of top-4 revenue. Under the ring-fenced minority, **manageable**: no change of control occurs, contracts are unaffected, and the consent process tells the Board in advance what control would cost. Governance converts a 30-45% churn assumption into a $\leq 20\%$ consent gate — and the earn-out pays sellers to protect the same clients.

1 Standalone brand & entity

No Paytm branding or shared front-ends

2 Arm's-length board

Independent chair; Paytm 1 of 5 (2 of 7 on control); reserved matters exclude custody ops

3 Information barriers

No client data to Paytm; MPC key shares never on Paytm infrastructure; segregated desk

4 Independent compliance & cyber

CCO/CISO report to Liminal risk committee; annual attestation shared with clients

5 Neutral service standards

Published client charter: no preferential pricing, routing or SLAs

6 Client-protection framework

Change-of-control consent rights, data portability, top-4 soundings, named owners

7 Retention-linked consideration

Earn-out and management pool scale with retained ARR: ₹291 Cr per 10 pts

8 Founder & engineer retention

Mahin Gupta and MPC core on vesting economics through validation

! Governance is not cosmetic: it is the valuation-protection mechanism, designed to be audited by clients, not just described to them.

Regulatory & closing: answer the capital question in writing before control

1 Before signing Phase 1 · indicative 8-12 weeks (TA)

- RBI consultation: PA-licence holder at 26% of a custody provider; capital treatment at minority vs control.
Signing condition: written comfort that no bank-like reserve applies at 26%
- Diligence: AML programme and FIU-IND standing; data protection and key-material localisation; ISO 27001 / SOC 2 evidence; client change-of-control clauses
- Top-4 soundings under NDA; competition and securities notifiability analysis

2 Signing → closing Phase 1 conditions precedent

- RBI comfort letter
- No material adverse regulatory change on either side
- Key-client consents where contracts bite at minority level
- FIU-IND registration in good standing; clean cyber audit
- Stock-exchange disclosure on signing

3 At control exercise Phase 3 · indicative 4-6 months (TA)

- RBI change-in-control approval
- Competition clearance
- SEBI/exchange approvals for share-settled earn-out (preferential-issue rules, shareholder resolution)
- Client change-of-control consents (Gate 1)
- Refreshed AML/cyber audit

4 Post-close All phases

- Standalone compliance framework
- AML transaction monitoring and reporting
- Segregated data and key infrastructure
- Continuous cyber monitoring and incident reporting
- Independent compliance reporting to both boards' risk committees

Does owning custody add requirements? (5.4)

Yes, per the case: bank-like reserves against custodied assets at full ownership (₹750 Cr/yr). Our design keeps the custody licence, the custodied assets and any reserves inside Liminal, and keeps Paytm at negative control until the treatment is written down.

The one question that decides the deal

Does minority ownership avoid, reduce or still trigger the ₹750 Cr requirement? The case does not say. Slide 10 shows why it decides everything: even a **₹100 Cr/yr** recurring cost defeats the five-year FCF gate in every trajectory.

Hard decision gate

No control without written regulatory capital treatment incorporated into the FCF model. If a reserve applies at minority level, Phase 1 is restructured toward the JV/licence path before signing.

Competitive & downside: set the walk-away line now; the structure absorbs the rest

PhonePe–Mastercard threat (CF)

- Exploratory consortium if Paytm walks; no competing price, terms, synergies or certainty in the case
- If they win: they get the rail + Mastercard cross-border; Paytm builds or partners elsewhere (24–36 mo, TA)
- They inherit the same wallet conflict, price and capital question; Mastercard's bank ties are their one real edge

Paytm's response (5.5)

- Reservation value: total $\leq ₹4,000$ Cr, $\leq ₹1,040$ Cr unconditional, no tranche above $18.2\times$ retained ARR, no control at a drag that defeats 5-yr FCF breakeven
- **If outbid on unconditional terms: let them** — the winner's curse the case describes
- Fallback: alternative custodian partnership; redeploy toward buybacks and organic e₹ build

If Paytm's multiple compresses

- Phase 1 is cash: independent of the stock
- A 25% price fall lifts the ₹1,900 Cr equity leg from 1.02 to 1.37 Cr shares — still $\sim 2\%$; the real risk is the narrative of a -29% print at $\sim 247\times$ P/E
- Answer: no unconditional equity, $\pm 15\%$ collar, cash-settle election; the unconditional cheque is 0.9% of market cap

Downside matrix — how the recommendation changes

Consents / churn ↓ · Capital drag →	None / structured away	Pro-rata at 26% ($\approx ₹195$ Cr)	Full ₹750 Cr at any ownership
$\geq 80\%$ consents (churn $\leq 20\%$)	EXERCISE if bull trajectory and cap hold	Hold; JV/licence for capability	Hold 26% only if drag-free, else restructure/exit
55–80% (churn 20–45%)	HOLD; earn-out floor protects; re-test m24	Hold or restructure to JV	Restructure or exit
$< 55\%$ (churn $> 45\%$)	NO CONTROL; remediation ladder	Exit	Exit

Remediation & unwind ladder if churn breaches 45% (5.6)

- 30d** Independent cause review; CEO outreach to each top-4 client; Paytm director steps back to observer
- 90d** Governance reset; published barrier attestation; fee holidays / SLA guarantees funded from the sellers' earn-out at risk
- 180d** Still $< 55\%$ retention: no exercise; ROFO/tag process to a neutral buyer, or convert to licence + warrants. Sunk cost never justifies escalation

! Competitive pressure may change timing; it must not change valuation discipline.

Roadmap & decision gates: Invest → Validate → Exercise / Hold / Walk away

Months 0-3 · INVEST

Months 3-12 · VALIDATE

Months 12-24 · DECIDE: Exercise / Hold / Walk away

1 Invest · months 0-3

- Close 26% for $\leq ₹1,040$ Cr; partnership live; ring-fence installed
- Option, earn-out, ROFR/ROFO documented; RBI comfort obtained
- Retention pool in place; Board model with quarterly gate reporting

2 Validate · months 3-12

- Customers: retention, top-4 renewals, written consents to control
- Regulation: written capital treatment; approval path; AML standing
- Financials: month-12 ARR $\geq ₹286$ Cr = bull, $\sim ₹264$ Cr = base; margins; cash; MDR tracked separately
- Risk: cyber, AML, data segregation, barrier attestation

Decide · months 12-24 — six quantified gates

Gate	Threshold to exercise control
1 · Client consents	$\geq 80\%$ of ARR consents in writing to Paytm control under the ring-fence; implied churn $\leq 20\%$
2 · Regulatory capital	Written RBI treatment; recurring cost nil or structured away ($₹50$ Cr passes only in bull/ 0% churn; $₹100$ Cr fails every case)
3 · Valuation	Control price $\leq ₹2,960$ Cr and $\leq 18.2\times$ retained ARR; total $\leq ₹4,000$ Cr
4 · PAT	Consolidated PAT breakeven ≤ 5 yrs after exercise on the Board model (bull passes; base does not)
5 · FCF	Consolidated FCF breakeven ≤ 5 yrs after confirmed capital cost; cash $\geq ₹5,000$ Cr; GD/EBITDA $\leq 1.5\times$
6 · Compliance	Clean AML/cyber/data audit; ISO 27001 and SOC 2 maintained; no unresolved regulatory matter

EXERCISE all six clear · **HOLD** any gate open: Liminal can remain an arm's-length associate indefinitely, and after control an arm's-length subsidiary · **WALK AWAY / UNWIND** churn $>45\%$, drag defeats returns, top-4 reject ownership, regulatory deterioration, price above reservation value — including after signing where CPs and termination rights allow.



FINAL BOARD MESSAGE — Paytm should not pay today for risks it can observe tomorrow. Secure the infrastructure through a 26% stake and a partnership; preserve the right, not the obligation, to acquire control; commit the remaining $₹2,960$ Cr only after client trust, capital treatment, valuation and cash flow are proven. **Strategic access now. Control only when value is protected.**

Appendix: EPS bridge, 10-year breakeven table and Phase-1 returns

EPS / dilution bridge (year 1, full acquisition)

₹7.50	Baseline diluted EPS (CF)
-0.12	New shares: 1.02 Cr at ₹1,855 (the “mechanical” ₹7.38)
-1.45	Foregone post-tax interest on ₹2,100 Cr cash (₹94.5 Cr, TA 6% yield)
-0.63	Post-churn Liminal loss ₹41 Cr, no group relief (TA)
₹5.29	Year-1 EPS, headline mix, 37.5% churn (−29%)
+1.08	Standalone MDR ₹69 Cr PAT — shown beside, never inside, the deal

Phase 1: ₹7.50 → −₹0.73 foregone interest → +₹0.04 associate share → **₹6.81**. Not modelled: PPA amortisation; one-time integration ₹100 Cr (in FCF). Model: Python, 17 sections, reprints every figure in this deck.

10-year PAT & FCF table — full acquisition, case mix, 20% growth, 37.5% churn (₹ Cr; EPS ₹/share)

Yr	Lim rev	Lim PAT	Incr PAT	EPS	EPS+MDR	Incr FCF	Cum FCF
1	165	−41	−136	5.29	6.36	−986	−3,086
2	198	15	−80	6.16	7.22	−830	−3,915
3	238	27	−68	6.34	7.40	−818	−4,733
4	285	43	−52	6.59	7.65	−802	−5,535
5	342	64	−30	6.92	7.98	−780	−6,315
6	411	77	−18	7.11	8.17	−768	−7,083
7	493	92	−2	7.35	8.41	−752	−7,835
8	591	111	16	7.63	8.69	−734	−8,569
9	709	133	39	7.97	9.04	−711	−9,280
10	851	160	65	8.38	9.44	−685	−9,965

PAT breakeven year 8; FCF never (₹750 drag + ₹94.5 cost of funds exceed Liminal FCF every year). Cumulative includes the ₹2,100 Cr outlay and ₹100 Cr integration.

Phase-1 stake IRR — exit end-Y5 at multiple × ARR₅, 26% stake, no dividends (TA)

Growth ↓ · exit multiple →	6×	10×	14×	18.2×
10%	−11.9%	−2.4%	4.4%	10.0%
20% (base)	−3.9%	6.5%	13.9%	20.0%
30% (bull)	4.1%	15.3%	23.4%	30.0%

Against a 12% hurdle the stake earns its cost of capital at ≥20% growth and ≥13× exit, or ≥30% growth and ≥9×. Fundamental value of 26%: ₹456 Cr (base) − ₹951 Cr (bull) vs the ₹1,040 Cr ceiling — the premium buys blocking and access.